

BEFORE THE
FEDERAL MARITIME COMMISSION

Docket No. 21-04

Greatway Logistics Group, LLC
Complainant

v.

Ocean Network Express, Pte., Ltd.,
Respondent.

**OCEAN NETWORK EXPRESS, PTE. LTD.’S MOTION TO STAY THIS PROCEEDING
OR, ALTERNATIVELY, MOTION FOR ADDITIONAL TIME**

Respondent Ocean Network Express Pte., Ltd. (“ONE”) by and through its undersigned counsel, respectfully moves the Presiding Officer for the entry of an order staying this proceeding, including the Bureau of Enforcement’s (“BOE”) Motion for Leave to Intervene, pending the adjudication of Complainant Greatway Logistics Group, LLC’s (“Greatway”) motion for reconsideration of the district court’s order dismissing its counterclaim for attorney fees with prejudice in Civil Action No. 4:20-CV-1734 *Ocean Network Express Pte. Ltd. v. Pacific Lumber Resources, Inc. et al.*, in the United States District Court for the Southern District of Texas, Houston Division (the “District Court Litigation”). Greatway’s attorney fees counterclaim, denied in the District Court Litigation, is the exact same relief it now requests from the Federal Maritime Commission (the “FMC”). In support of this motion, ONE respectfully shows as follows.

BACKGROUND

On May 18, 2020, ONE commenced the District Court Litigation against Greatway and others,¹ seeking to recover unpaid demurrage, storage, and freight charges pursuant to the terms and conditions of two bills of lading for the ocean transport of goods from Brazil to the United

¹ Defendants in the District Court Litigation were: Pacific Lumber Resources, Inc., South Service Trading, S.A., Evolution Comercial Exportadora, Ltda., AGL Transportes Internacionais Ltda-EEP and AGL Cargo, LLC.

States.² On October 22, 2020, Greatway filed its Answer and Counterclaim in the District Court Litigation.³ Greatway’s purported counterclaim stated, in its entirety, “[t]o the extent there is a contractual or statutory right for attorney fees, Greatway affirmatively pleads a counterclaim for its attorney fees and costs arising thereunder.”⁴

In the eight months following its appearance in the District Court Litigation, Greatway propounded and responded to written discovery; agreed in principle to a continuance to facilitate further discovery and alternative dispute resolution; and participated in settlement negotiations and mediation. During that same time, ONE confidentially settled its claims with some of the defendants and voluntarily dismissed others on a without prejudice basis, pursuant to Federal Rule of Civil Procedure 41(a)(2).

On May 25, 2021, ONE filed a motion in the District Court Litigation to dismiss both its claims against Greatway and Greatway’s counterclaim against ONE.⁵ On May 26, 2021, the district court granted the motion, dismissing Greatway from the District Court Litigation pursuant to Federal Rule of Civil Procedure 41(a)(2), and dismissing Greatway’s counterclaim against ONE with prejudice, pursuant to Federal Rule of Civil Procedure 12(b)(6).⁶

On May 28, 2021, Greatway filed a motion for reconsideration of the dismissal order in the District Court Litigation.⁷ Only then did Greatway raise that the possible bases for its purported counterclaim for attorney fees could be the Shipping Act, or the Texas Deceptive Trade Practices

² A true copy of ONE’s First Amended Complaint in the District Court Litigation is attached hereto as Exhibit “A.” This is the only time ONE has taken action to apply its definition of “Merchant” beyond entities listed as shipper or consignee on ONE’s bill of lading. Although not directly pertinent to the instant motion, this fact—that the proceeding involves only a single court action pertaining to two interrelated bills of lading—undercuts any attempt to prove a pattern or practice of such enforcement, as required by 46 U.S.C. § 41102(c), under the FMC’s interpretive rule set forth at 46 C.F.R. §545.4.

³ A true copy of Greatway’s Answer and Counterclaim is attached hereto as Exhibit “B.”

⁴ *Id.* at p. 13.

⁵ A true copy of the Motion is attached hereto as Exhibit “C” and made a part hereof by reference.

⁶ A true copy of the Court’s Order attached hereto as Exhibit “D.”

⁷ A true copy of Greatway’s Motion for Reconsideration is attached hereto as Exhibit “E.”

Act, or common law principles such as abuse of process.⁸ At no time prior to May 28, 2021 had Greatway alleged that the Shipping Act was at issue. Greatway acknowledges the district court's dismissal of its counterclaim, but argues the district court should issue the dismissal "without prejudice."⁹ Importantly, Greatway argues that the dismissal with prejudice is significant to the viability of Greatway's FMC complaint against ONE.¹⁰ ONE responded to the motion for reconsideration on June 18, 2021.¹¹ Greatway filed a reply on June 23, 2021, raising new arguments for the first time and making misstatements and mischaracterizations of law and fact.¹² On June 24, 2021, ONE moved the district court for leave to file a sur-reply.¹³ In any event, Greatway's motion for reconsideration is now before the district court for decision. While ONE does not know precisely when the district court will rule, a decision thereon is expected in the near term; perhaps as soon as 30-45 days.

Greatway now seeks a second bite at the apple to recover those attorney fees through the instant FMC proceeding. Tellingly, Greatway commenced the instant proceeding on May 25, 2021, the same day ONE moved to dismiss Greatway from the District Court Litigation and to dismiss Greatway's counterclaim. On June 11, 2021, BOE filed a Motion for Leave to Intervene in this proceeding. It is unclear whether BOE was aware at the time that the only issue and "injury"

⁸ *Id.* at 3.

⁹ *Id.* at 5.

¹⁰ *Id.*

¹¹ A true copy of ONE's Response in Opposition to Greatway's Motion for Reconsideration is attached hereto as Exhibit "F."

¹² A true copy of Greatway's Reply is attached hereto as Exhibit "G." Among other things, Greatway erroneously asserted that the Shipping Act gives it a right to obtain from the FMC attorney's fees it expended in the District Court Litigation. Nothing in the Shipping Act authorizes the Commission to award fees incurred in non-Commission proceedings. Further, attorney's fees are granted, if at all, not as a matter of right but at the discretion of the Commission. See 46 U.S.C. 41305(e); 46 C.F.R. 502. 254 (giving FMC discretion to award attorney's fees incurred in proceedings before it in appropriate circumstances). Greatway also misstated the law about the district court's subject matter jurisdiction. As the First Circuit has explained, counterclaims or defenses based on the Shipping Act may be raised in federal courts. *Puerto Rico Maritime Shipping Auth. v. Federal Maritime Comm'n*, 75 F.3d 63, 65 (1st Cir. 1996).

¹³ A true copy of ONE's motion for leave to file a sur-reply, along with the proposed sur-reply is attached as Exhibit "H."

before the FMC is whether Greatway may obtain from the FMC the relief denied by the district court (i.e. its defense costs from the District Court Litigation).

ARGUMENT AND AUTHORITIES

A temporary stay of the instant proceeding, while the district court decides Greatway's motion for reconsideration, would plainly serve judicial economy. As Greatway admits, the decision as to the prejudicial dismissal of its counterclaim in the District Court Litigation would have a substantial effect on the framing of the issues presented by its Complaint. While ONE disagrees that Greatway may prevail regardless of whether the dismissal of its purported counterclaim is with or without prejudice, ONE agrees that the anticipated arguments are likely to vary depending on the decision in the District Court Litigation. Until the district court rules, it is impossible for the ONE or Greatway to make accurate arguments; and any decision by the Presiding Officer might need to be reconsidered in light of the disposition of the District Court Litigation.

More specifically, if the district court maintains its dismissal with prejudice, Greatway's counterclaim for attorney fees would be foreclosed by the doctrine of *res judicata*. *P.R. Mar. Shipping Auth. v. Fed. Mar. Comm'n*, 75 F.3d 63, 68 (1st Cir. 1996). It is indisputable that this would substantially change Greatway's position, and raises questions whether Greatway would continue pursuit of a cease and desist order. Here, a cease and desist order appears highly inappropriate given that: (i) this is the only time ONE has brought such an action, and (ii) there is no likelihood that ONE will take such action again, especially against Greatway. Such *sui generis* circumstances would appear very unlikely to justify issuance of a cease and desist order.¹⁴

¹⁴ It is also very unclear what such an order would require ONE to desist from. The issue of the "Merchant" clause is currently before the Commission, so it is hard to imagine that the Presiding Officer would wish to preempt the rulemaking. See FMC Docket No. 20-16, Notice of Inquiry - Vessel-Operating Common Carrier Definition and Application of the Term "Merchant" in Bills of Lading, 85 Fed. Reg. 65042 (Oct. 14, 2020).

If, on the other hand, the district court amends its order to remove the prejudicial dismissal, the arguments would be different, even though the result should ultimately be the same. If *res judicata* does not apply, the issue becomes whether, contrary to the language of the Shipping Act, the authority of the FMC to award attorney's fees extends beyond FMC proceedings and authorizes the FMC to award fees incurred in an entirely different forum.

The outcome of the District Court Litigation affects not only the parties and their arguments, but also the evaluation by the Presiding Officer. As of now, the Presiding Officer would need to speculate how the district court will rule on reconsideration, and thus whether *res judicata* is in play. Any wrong assumption would demand further briefing and reconsideration by the Presiding Officer. Finally, a narrowing of the issue of *res judicata* may affect the determination of whether BOE's intervention meets the requirements of FMC Rule 68.

The decision whether to stay a proceeding is within the discretion of the Presiding Officer, and the party seeking a stay has the burden to demonstrate its need. *General Motors LLC v. Nippon Yusen Kabushiki Kaisha; Wallenius Wilhelmsen Logistics AS; and Eukor Car Carriers, Inc.*, FMC Docket No. 15-08, 2016 FMC LEXIS 2, *3-5 (Jan 5, 2016) (citing *Landis v. North American Co.*, 299 U.S. 248, 254 (1936)). A stay is appropriate where there is "hardship or inequity in being required to go forward." *Id.* The grant of a prudential stay is discretionary and requires a balancing of various interests, including:

- which court first assumed jurisdiction;
- the inconvenience of the forum;
- the desirability of avoiding piecemeal litigation;
- what law provides the rule of decision on the merits;
- the adequacy of the fora to protect the parties' rights; and

- whether one of the actions has a vexatious or reactive nature.

Id. (citing *Profile Manufacturing, Inc. v. Kress*, 1994 U.S. App. LEXIS 6048 at *7 (Fed. Cir. 1994)). On balance here, the majority of factors weigh in favor of granting a stay.

First, the District Court Litigation is undisputedly the forum which first assumed jurisdiction, as that case commenced on May 18, 2020 and Greatway fully and willingly participated since October 22, 2020. Moreover, Greatway never challenged the district court's jurisdiction, and only raised a reference to the Shipping Act and/or the FMC in its motion for reconsideration.

Secondly, granting the stay avoids the possibility of piecemeal litigation by allowing the sole-remaining issue in the District Court Litigation (*i.e.* whether Greatway's counterclaim for attorney fees is dismissed with or without prejudice) to be resolved, prior to delving into further litigation in the FMC seeking the exact same relief.

Third, Greatway's subsequently-filed FMC complaint appears both vexatious and reactive in nature, as it was never once mentioned during the eight months that Greatway participated in the District Court Litigation and, significantly, commenced the exact same day that ONE moved to dismiss Greatway from the District Court Litigation.

Fourth, although Greatway obfuscated this point in its FMC Complaint, Greatway did not actually pay freight, detention, demurrage, or any amount in settlement to ONE of same. Rather, Greatway's alleged injuries in its purported counterclaim, and presently before the FMC, consist solely of its "attorney's fees." Whether a party is entitled to recovery of attorney's fees, whether in District Court Litigation or before the FMC, is neither an issue distinctly involving the nuances of Shipping Act, nor an issue within the exclusive jurisdiction of the FMC. *See, e.g., LSB Industries v. Prudential Lines, Inc.*, 736 F.2d 10, 12, 1984 U.S. App. LEXIS 22203, (2d Cir. 1984) (district

court had jurisdiction when issue did not involve reasonableness of rates, interpretation of technical terms, or other matters calling for FMC expertise.); *Pasha Auto Warehousing, Inc. v. Philadelphia Regional Port Auth.*, No. Civ. A. 96-6779, 1998 U.S. Dist. LEXIS 5532, at *22 (E.D. Pa. Apr. 21, 1998) (declining to defer to the FMC where interpretation of contract in question was “well within the conventional expertise of a court” and “not the FMC’s traditional area of expertise”).

The remaining factors—adequacy of the for a and any inconvenience presented by the fora—are neutral in terms of whether to grant the stay.

ONE recognizes the FMC has been reluctant to stay its own proceedings, pending parallel court proceedings, in order to preserve the right to rule on potential Shipping Act violations. *See, e.g., Igor Ovchinnikov, Irina Rzaeva, and Denis Nekipelov v. Michael Hitrinov a/k/a Michael Khitrinov, Empire United Lines Co., Inc., and Carcont, Ltd.*, FMC Docket No. 15-11, (Order Denying Motion for Stay) (ALJ, April 27, 2016), (available at: https://www2.fmc.gov/readingroom/docs/15-11/15-11_Odr_dnyng_stay.pdf/). The instant matter, however, is substantially different from the cases where stays have been denied. In those cases, stays were requested on the ground that a parallel proceeding might issue a future ruling that could affect the FMC proceeding. In this case, as described above, Greatway seeks to relitigate the precise issue already ruled on by the district court. Moreover, the district court’s decision on Greatway’s motion for reconsideration will be forthcoming soon and will undoubtedly affect the course of this proceeding. Under these circumstances, considerations of judicial economy strongly support a temporary stay.

ONE also submits that the stay of the proceedings should also include BOE’s Motion for Leave to Intervene. As explained, above, the decision of the district court may discourage

Greatway from proceeding, leaving no case in which the BOE could intervene, or might otherwise affect BOE's consideration of whether it still wants to intervene. The outcome of the District Court Litigation may also affect whether ONE opposes BOE's proposed intervention.

ONE, accordingly, requests that the Presiding Officer stay the proceedings, and that ONE be given thirty (30) days after the ruling by the district court to answer, move, or otherwise respond to the Complaint, and to respond to BOE's Motion For Leave to Intervene.

Should the Presiding Officer deny ONE's requested stay, ONE will still need additional time to respond to the extant filings. ONE's counsel have been fully occupied with the District Court Litigation, and ONE has only recently hired counsel to support lead counsel with respect to FMC issues, who need a modest amount of additional time to review the matter. In addition, ONE currently anticipates that its first substantive filing will be a motion to dismiss, the grounds of which will be determined by what the district court does, and this will take time to prepare (including an intervening July 4 holiday). Finally, ONE believes that the extra time will enhance the opportunity to discuss potential settlement with Greatway and BOE. Accordingly, should the Presiding Officer deny the stay, ONE requests in the alternative that it be given thirty (30) days from the denial order to answer, move, or otherwise respond to the Complaint, and to respond to BOE's Motion for Leave to Intervene.

CONCLUSION

For the foregoing reasons, Respondent Ocean Network Express Pte. Ltd. respectfully requests that the Presiding Officer: (1) stay this action, and all associated proceedings and deadlines, pending a further order from the Honorable Chief Judge Rosenthal in the first-filed District Court Litigation regarding Complainant Greatway Logistic Group, LLC's Motion for Reconsideration; (2) allow Respondent thirty (30) days after the ruling on the Complainant's

Motion to Reconsider in the District Court proceeding to answer, move, or otherwise respond to the Complaint, and BOE's Motion For Leave to Intervene; or (3) *in the alternative*, should the stay be denied, allowing Respondent thirty (30) days thereafter to answer, move, or otherwise respond to the Complaint, and to respond to BOE's Motion For Leave to Intervene; and (4) grant such other and further relief as the Presiding Officer may deem just and proper.

DATED: June 25, 2021

Respectfully submitted,

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CERTIFICATE OF CONFERENCE

Pursuant to 46 CFR 502.71(a) counsel for ONE conferred with counsel for Greatway on June 23, 2021 regarding the relief requested in this motion. Greatway opposes the motion. Counsel for ONE conferred with counsel for BOE on June 24, 2021. BOE has no current position on the instant motion, as it is not currently a party to the proceeding and has not reviewed the motion.

/s/ Andrew R. Nash
Andrew R. Nash

CERTIFICATE OF SERVICE

I certify that on the 25th day of June, 2021, a true and correct copy of the foregoing document was served on all counsel of record in accordance with 46 CFR Part 502.

/s/ Andrew R. Nash
Andrew R. Nash

**IN THE UNITED STATES DISTRICT COURT
FOR THE SOUTHERN DISTRICT OF TEXAS
HOUSTON DIVISION**

OCEAN NETWORK EXPRESS	§	
(NORTH AMERICA) INC. AND	§	
OCEAN NETWORK EXPRESS PTE. LTD.	§	
	§	
Plaintiffs	§	
	§	
V.	§	C.A. NO. 4:20-CV-1734
	§	
PACIFIC LUMBER RESOURCES, INC.,	§	
SOUTH SERVICE TRADING S.A.,	§	
GREATWAY LOGISTICS GROUP, LLC,	§	
EVOLUTION COMERCIAL EXPORTADORA	§	
LTDA., AGL TRANSPORTES	§	
INTERNACIONAIS LTDA-EPP, AND AGL	§	
CARGO LLC	§	

Defendants

PLAINTIFFS' FIRST AMENDED COMPLAINT

TO THE HONORABLE JUDGE OF SAID COURT:

COME NOW Plaintiffs, Ocean Network Express (North America) Inc. and Ocean Network Express Pte. Ltd. ("Plaintiffs" and/or "ONE"), and file this First Amended Complaint for damages against Pacific Lumber Resources, Inc., South Service Trading S.A., Greatway Logistics Group, LLC, Evolution Comercial Exportadora Ltda., AGL Transportes Internacionais Ltda-EPP, and AGL Cargo LLC (collectively "Defendants"). Plaintiffs respectfully aver as follows:

**I.
JURISDICTION AND VENUE**

1. This Court has jurisdiction over the subject matter of this action pursuant to 28 U.S.C. §1331 and §1333. This is an admiralty and maritime claim within the meaning of Rule 9(h)

EXHIBIT
A

of the Federal Rules of Civil Procedure, and the United States Carriage of Goods by Sea Act, (46 U.S.C. §30701 et. seq.), applies.

2. Venue is proper under 28 U.S.C. § 1391 as a substantial part of the events or omissions giving rise to this claim occurred within this judicial district. Further, clause 25.2 of the bills of lading at issue provide ONE the option of bringing an action to enforce any provisions in the bills of lading in any court of competent jurisdiction.

II. PARTIES

3. Plaintiff, Ocean Network Express (North America) Inc., is a foreign corporation organized under the laws of Virginia with its principal office located in Richmond, Virginia.

4. Plaintiff, Ocean Network Express Pte. Ltd., is a foreign business entity based in Singapore.

5. Defendant, Pacific Lumber Resources, Inc., (“Pacific Lumber”), is a foreign corporation incorporated under the laws of Oregon with a principal place of business in Lake Oswego, Oregon. Pacific Lumber has appeared and answered and may be served through its counsel of record.

6. Defendant, South Service Trading S.A. (“South Service”), is a foreign business entity with a principal place of business in Brazil. South Service does not maintain a regular place of business in Texas, and upon information and belief, South Service does not maintain a regular place of business in Texas. Upon information and belief, South Service regularly conducts business in Texas, and South Service may be served through the Texas Secretary of State, as it is the agent for service on the non-resident defendant and because the lawsuit arises from the non-resident defendant’s business in Texas. Alternatively, South Service may be served through any other means permitted by law including the Inter-American Service Convention and Additional Protocol

and/or the Hague Convention at its principal office at Rodovia BR 101, N. 3136, Sala 04, Bairro Salseiro-Itajai -SC-, 88318-100, Brazil.

7. Defendant, Greatway Logistics Group, LLC, (“Greatway”), is a foreign limited liability company organized under the laws of Florida. Greatway does not maintain a registered agent in Texas, and upon information and belief, Greatway does not maintain a regular place of business in Texas. Upon information and belief, Greatway regularly conducts business in Texas, and Greatway may be served through the Texas Secretary of State, as it is the agent for service on the non-resident defendant and because the lawsuit arises from the non-resident defendant’s business in Texas. Alternatively, Greatway may be served by any other means permissible by the Federal Rules of Civil Procedure.

8. Defendant, Evolution Commercial Exportadora Ltda. (“Evolution”), is a foreign business entity with a principal place of business in Brazil. Evolution does not maintain a registered agent in Texas, and upon information and belief, Evolution does not maintain a regular place of business in Texas. Upon information and belief, Evolution regularly conducts business in Texas, and Evolution may be served through the Texas Secretary of State, as it is the agent for service on the non-resident defendant and because the lawsuit arises from the non-resident defendant’s business in Texas. Alternatively, Evolution may be served through any other means permitted by law including the Inter-American Service Convention and Additional Protocol and/or the Hague Convention at its principal office at Rua Wolfgang Ammon, 87-4 Andar Sala 44, Edificio Milano-Centro, 89280-169 Sao Bento Do Sul, Brazil.

9. Defendant, AGL Transportes Internacionais Ltda-EPP (“AGL Transportes”), is a foreign business entity with a principal place of business in Brazil. AGL Transportes has made an appearance, and it may be served through its counsel of record.

10. Defendant, AGL Cargo LLC, (“AGL Cargo”), is a foreign limited liability company organized under the law of Florida. AGL Cargo has made an appearance, and it may be served through its counsel of record.

III. **FACTS**

A. The Shipments and Unpaid Charges

11. ONE’s claims are for unpaid charges owed jointly and severally by the Defendants to ONE. The unpaid charges arise under two bills of lading for two shipments of pine plywood from Brazil to the United States.

12. In October 2018, ONE transported two shipments of pine plywood from Brazil to the Port of Houston, Texas. The first shipment was transported under Bill of Lading No: ONEYSAOU24000400.¹ The second shipment was transported under Bill of Lading No: ONEYSAOU24596300.² Pacific Lumber was identified as the consignee on the respective bills of lading for each shipment.

13. Both shipments arrived safely at Barbours Cut Terminal in the Port of Houston from their respective voyages on November 6, 2018 and November 15, 2018.

14. Upon information and belief, prior to arrival of the shipments in Houston, Defendants worked with U.S. Customs to pay all import duties and to obtain clearance for the shipments from U.S. Customs. On November 2, 2018, U.S. Customs cleared the cargo containers shipped under Bill of Lading No. ONEYSAOU24000400. On November 7, 2018, U.S. Customs cleared the cargo containers shipped under Bill of Lading No. ONEYSAOU24596300. Upon

¹ See Exhibit 1.

² See Exhibit 2.

arrival in Houston, the containers comprising the respective shipments then sat at the Port of Houston awaiting pick up.

15. Although the cargo was delivered to Houston and had been cleared by U.S. Customs for pick up, there was a commercial dispute involving Pacific Lumber, South Service, Evolution, Greatway, AGL Transportes, and AGL Cargo, which delayed the retrieval of the cargo by Pacific Lumber from the Port of Houston.

16. At all material times, AGL Transportes and AGL Cargo acted as the agents or servants of the shippers under both bills of lading. Also, due to the commercial dispute, AGL Transportes and AGL Cargo requested that ONE amend the bills of lading to change the consignee/replace Pacific Lumber as consignee.³ However, both shipments under the respective bills of lading had already been cleared by U.S. Customs under the name of Pacific Lumber, the consignee designated on the bills of lading, and ONE had no authority to change the consignee.

17. Upon information and belief, Pacific Lumber ultimately resolved its differences with South Service, Evolution, Greatway, AGL Transportes and AGL Cargo privately. Further, it was only at that time, on or about January 17, 2019, that AGL Transportes and/or AGL Cargo initiated a wire transfer to ONE for the earned freight due under the bills of lading.⁴

18. After initiating payment of the earned freight charges on January 17, 2019, AGL Transportes/AGL Cargo also requested “EXPRESS RELEASE URGENTLY” of the cargo.⁵ Until receiving payment of the earned freight due under the bills of lading and these instructions from AGL Transportes/AGL Cargo, ONE was not authorized to and could not release the cargo to anyone.

³ See Exhibit 3.

⁴ See Exhibit 4.

⁵ *Id.*

19. Upon receipt of the earned freight payment and the instructions to release the cargo from AGL Transportes/AGL Cargo, ONE dutifully released the cargo. Pacific Lumber then picked up the cargo in late January 2019.

20. While Pacific Lumber, South Service, Evolution, Greatway, AGL Transportes and/or AGL Cargo worked through their commercial dispute, the cargo covered by both bills of lading remained stored in the Port of Houston accruing demurrage/storage/freight charges payable pursuant to the terms and conditions of both of the bills of lading.

21. As is the local practice, the Port of Houston invoiced the ocean carrier, ONE in this instance, for the Port of Houston's accrued demurrage/storage/freight charges through the pick up of the cargo. ONE paid these charges to the Port of Houston, and thereafter promptly invoiced Pacific Lumber for ONE's customary freight/demurrage/storage charges on January 25, 2019 and January 28, 2019.⁶

22. Pacific Lumber has wrongfully refused, and continues to refuse, to pay the charges. South Service, Evolution, Greatway, AGL Transportes, and AGL Cargo have also wrongfully refused, and continue to refuse, to pay the charges.

B. Terms and Conditions of the Bills of Lading

23. Bills of Lading Nos. ONEYSAOU24000400 and ONEYSAOU24596300 incorporate ONE's published tariff and constitute the contracts of carriage for the shipments at issue. Both bills of lading include terms and conditions that clearly establish that each of the Defendants are jointly and severally liable for and must pay the charges at issue. Specifically, both bills of lading state, in pertinent part:

Delivery of the Goods to the Carrier for Carriage hereunder constitutes acceptance by the Merchant (as defined hereinafter) (i) of all the terms and conditions, whether printed, stamped or otherwise incorporated on this side and on the reverse side of

⁶ See Exhibits 5 and 6.

this Bill of lading and the terms and conditions of the Carrier's applicable tariff(s) as if they were all signed by the Merchant[.]

1. Definitions and Tariff

1.1. Definitions

“Carrier” means Ocean Network Express Pte Ltd on whose behalf this Bill has been signed;

“Freight” includes all charges payable to the Carrier in accordance with the applicable Tariff(s) and this Bill, including storage, demurrage and detention;

“Merchant” includes the Shipper, Consignee, owner, Person owning or entitled to possession of the Goods or of this Bill, Receiver, Holder, and anyone acting on behalf of any such person, including but not limited to agents, servants, independent contractors, non-vessel operating common carriers (“NVOCCs”), and freight forwarders;

1.2 Carrier's Tariff

The terms of the Carrier's applicable Tariff(s) (“Tariff”) are incorporated herein. The Merchant's attention is drawn to clause 6 hereof. Copies of the relevant provisions of the Tariff(s) are obtainable from the Carrier upon request. In the case of inconsistency between this Bill and any applicable Tariff, this Bill shall prevail.

2. Terms and Conditions

2.1 The terms and conditions provided for in this Bill shall apply in any action by or against the Carrier for any loss or damage whatsoever and howsoever occurring (and without restricting the generality of the foregoing, including delay, late delivery and/or delivery without surrender of this Bill), whether the action be founded in contract, bailment or in tort.

2.3 The terms and conditions of this Bill shall govern the relations between the Carrier and the Merchant in respect of the Carriage, whether a Bill of Lading is issued or not.

6. Freight

6.1 Freight shall be deemed fully earned on receipt of the Goods by the Carrier...and shall be paid and non-returnable in any event...

6.5 The Merchant shall be liable to the Carrier for the payment of all Freight and/or expenses including but not limited to court costs, legal fees and expenses incurred in collecting monies due to the Carrier....

13. Merchant's Responsibility

13.1 All of the Persons coming within the definition of Merchant in Clause 1.1 shall be jointly and severally liable to the Carrier for the due fulfillment of all obligations of the Merchant in this Bill.

13.2 The Merchant shall comply with all statutes, ordinances, regulations or requirements of customs, port, and any other authorities relative to the Goods, documentation and any other matters affecting or in any way relating thereto, and shall bear and pay all duties, taxes, fines, imposts, expenses or losses incurred or suffered due to any failure to so comply, or due to any illegal, incorrect or insufficient marking, numbering or addressing of the Goods, and shall indemnify the Carrier in respect thereof.

13.3 The Merchant shall indemnify, defend and hold the Carrier harmless from all consequences of any:

(a) failure by the Merchant to comply with any provision of this Bill, the Carrier's applicable Tariff(s), and/or any applicable circulars or contracts, laws or regulations, and/or

(b) breach of any of the Merchant's representations or warranties of undertakings herein.

13.4 The Merchant's obligation to so indemnify, defend and hold harmless shall include reimbursement of all expenses or amounts spent or incurred, including legal fees and expenses, penalties or liabilities imposed, or loss of profit, directly or indirectly arising from or in connection with such failure or breach and shall not be defeated or reduced by any negligence on the part of or attributable to the Carrier.

21. Notification and Delivery

21.1 Any mention in this bill of parties to be notified of the arrival of the Goods is solely for information of the Carrier, and failure to give such notification shall not involve the Carrier in any liability nor relieve the Merchant of any obligation hereunder.

21.2 The Merchant shall take delivery of the Goods within the free storage time provided for in the Carrier's applicable Tariff(s) or otherwise. If the Merchant fails to do so, without prejudice to any other rights of the Carrier hereunder, the Carrier may without notice unload the Goods or part thereof from the Vessel or the Container and/or store the Goods or part thereof ashore, afloat, in the open or under cover at the sole risk of the Merchant. Such storage shall constitute due delivery hereunder, and thereupon all liability whatsoever of the Carrier in respect of the Goods or part thereof shall cease, and the costs of such unloading or storage (if paid or payable by the Carrier or any agent or Sub-Contractor of the Carrier) shall immediately on demand be paid by the Merchant to the Carrier.⁷

24. Each of the Defendants fall within the definition of the term "Merchant," as set forth in the terms and conditions for both of the bills of lading at issue. Further, pursuant to Clauses 6, 13, and 21 of the bill of lading terms and conditions, each "Merchant" is jointly and severally responsible for the payment of freight/demurrage/storage costs and shall be liable for and/or indemnify and/or hold harmless ONE against such costs.

25. The Defendants each meet the definition of "Merchant," and are accordingly liable to ONE for the claims arising from the bills of lading as follows:

- a. Pacific Lumber is listed on both bills of lading as the consignee for the shipments. Under the terms and conditions of both bills of lading, the consignee is explicitly contemplated in the definition of "Merchant." Accordingly, Pacific Lumber is jointly and severally liable with all of the other "Merchants" for all unpaid charges at issue, which charges total \$211,875.00;

⁷ See Exhibbits 1 and 2 at pp. 1, 4-6, 11-12, 16-17, and 21.

- b. AGL Transportes and AGL Cargo are agents and/or servants acting on behalf of the shippers with respect to the shipments covered by both of the bills of lading. AGL Transportes and AGL Cargo were fully aware of the mounting Port of Houston storage/demurrage/freight costs after the cargo arrived in the Port of Houston, and they were also directly involved in communications with ONE regarding the charges and regarding the problems/issues with attempting to change the consignee on the bills of lading, (Pacific Lumber), after clearance of the cargo by US Customs. AGL Transportes and AGL Cargo were also further involved with the performance of the contracts of carriage as the parties that initiated payment of the earned freight charges to ONE, under both bills of lading, and as the parties who had the authority to instruct ONE to express release the cargo once earned freight was paid. Under the terms and conditions of both bills of lading, anyone acting on behalf of the shipper, including but not limited to agents, servants, independent contractors, non-vessel operating common carriers, and freight forwarders are explicitly contemplated in the definition of “Merchant.” Accordingly, AGL Transportes and AGL Cargo, as the agents/servants of the shippers, are jointly and severally liable with all of the other “Merchants” for all unpaid charges at issue, which total \$211,875.00;
- c. South Service is listed on Bill of Lading No. ONESAOU24000400 as the shipper. Under the terms and conditions of Bill of Lading No. ONESAOU24000400, the shipper is explicitly contemplated in the definition of “Merchant.” Accordingly, South Service is jointly and severally liable with Pacific Lumber, AGL Transportes, AGL Cargo, and Greatway for all unpaid charges at issue relating to the shipment covered by Bill of Lading No. ONESAOU24000400, which totals \$112,925.00;
- d. Greatway is listed on Bill of Lading No. ONESAOU24000400 as the “Notify Party.” Under the terms and conditions of Bill of Lading ONESAOU24000400, anyone acting on behalf of the shipper, consignee, or person otherwise entitled to the possession of goods shipped or of the bill of lading, including but not limited to agents, servants, independent contractors, non-vessel operating common carriers, and freight forwarders is explicitly contemplated in the definition of “Merchant.” Upon information and belief, “Notify Party” is an agent, servant, or independent contractor of Pacific Lumber or South Service. Moreover, at the time that ONE received the request to change the consignee on the bill of lading from AGL Transportes/AGL Cargo, Greatway advised the goods had already been cleared through U.S. Customs and it would not allow changes to either bill of lading. As a result, charges continued to accrue. Accordingly, Greatway as the agents/servants of the shippers or consignee, are jointly and severally liable with all of the other “Merchants” for all unpaid charges at issue, which total \$211,875.00;
- e. Evolution is listed on Bill of Lading No. ONESAOU24596300 as the shipper. Under the terms and conditions of Bill of Lading No. ONESAOU24596300, the shipper is explicitly contemplated in the definition of “Merchant.” Accordingly, Evolution is jointly and severally liable with Pacific Lumber, AGL Transportes, and AGL Cargo for all unpaid charges at issue relating to the shipment covered by Bill of Lading No. ONESAOU24596300, which totals \$98,950.00.

IV.
CAUSE OF ACTION: CONTRACTUAL LIABILITY AS “MERCHANTS”
UNDER THE EXPRESS TERMS OF BILL OF LADING NO. ONESAOU24000400

26. ONE incorporates the preceding paragraphs 1 through 25 and their respective subparagraphs, as if fully set forth in this section.

27. As more particularly described above, Pacific Lumber (consignee), South Service (shipper), and Greatway (notify party) are identified parties on the maritime contract of carriage contained in Bill of Lading No. ONESAOU24000400 and who explicitly meet the definition of “Merchant.”

28. The cargo to be transported under Bill of Lading No. ONESAOU24000400 was delivered by ONE, whereby the “Merchant” accepted, *inter alia*, all the terms and conditions of the bill of lading and ONE’s tariff, “as if they were all signed by the Merchant.”⁸ Thus, if an entity meets the definition of “Merchant” in the bill of lading, it is jointly and severally responsible to ONE for damages, irrespective of whether or not the entity is identified on the bill of lading.

29. AGL Transportes and AGL Cargo were the agents or servants of the shipper—South Service—and were materially involved in the performance of the obligations of the contract, including communications seeking the amendment of material terms of the contract, the payment of earned freight to ONE, and the release of the cargo. Accordingly, AGL Transportes and AGL Cargo also qualify as the “Merchant” under the bill of lading.

30. Greatway was also the agent or servant of the shipper—South Service—or consignee—Pacific Lumber. At the time that ONE received the request to change the consignee on the bill of lading, Greatway advised the goods had already been cleared through U.S. Customs and it would not allow changes to the bill of lading. As a result, charges continued to accrue.

⁸ See Ex. 1 at p.1.

Greatway, as the agents/servants of the shipper or consignee, also qualifies as the “Merchant” under the bill of lading.

31. Pursuant to Clauses 6, 13, and 21 of the bill of lading terms and conditions, each “Merchant” is jointly and severally responsible for the payment of freight/demurrage/storage costs and shall be liable for and/or indemnify and/or hold harmless ONE against such costs.

32. ONE is an innocent party who dutifully delivered the cargo of containers to Houston, Texas and fully performed all of its contractual obligations under Bill of Lading No. ONESAOU24000400.

33. However, freight/demurrage/storage costs were allowed to accrue by the “Merchants” to Bill of Lading No. ONESAOU24000400, *i.e.*, Pacific Lumber, South Service, Greatway, AGL Transportes, and AGL Cargo.

34. ONE has demanded payment of the accrued freight/demurrage/storage costs from the Merchants, to no avail. The Merchants’ refusals to pay ONE \$112,925.00 for the accrued freight/demurrage/storage costs is a breach of their contractual obligations, which has damaged ONE.

V.

**CAUSE OF ACTION: CONTRACTUAL LIABILITY AS “MERCHANTS”
UNDER THE EXPRESS TERMS OF BILL OF LADING NO. ONESAOU24596300**

35. ONE incorporates the preceding paragraphs 1 through 25 and their respective subparagraphs, as if fully set forth in this section.

36. As more particularly described above, ONE, Pacific Lumber (consignee and notify party), and Evolution (shipper) are identified parties on the maritime contract of carriage contained in Bill of Lading No. ONESAOU24596300.

37. The cargo to be transported under Bill of Lading No. ONESAOU24596300 was delivered by ONE, whereby the “Merchant” accepted, *inter alia*, all the terms and conditions of the bill of lading and ONE’s tariff, “as if they were all signed by the Merchant.”⁹ Thus, if an entity meets the definition of “Merchant” in the bill of lading, it is jointly and severally responsible to ONE for damages, irrespective of whether or not the entity is identified on the bill of lading.

38. AGL Transportes and AGL Cargo were the agents or servants of the shipper—Evolution—and were materially involved in the performance of the obligations of the contract, including communications seeking the amendment of material terms of the contract, the payment of earned freight to ONE, and the release of the cargo. Accordingly, AGL Transportes and AGL Cargo also qualify as the “Merchant” under the bill of lading.

39. Greatway was also the agent or servant of the shipper—Evolution—or consignee—Pacific Lumber. At the time that ONE received the request to change the consignee on the bill of lading, Greatway advised the goods had already been cleared through U.S. Customs and it would not allow changes to the bill of lading. As a result, charges continued to accrue. Greatway as the agents/servants of the shipper or consignee, also qualifies as the “Merchant” under the bill of lading.

40. Pursuant to Clauses 6, 13, and 21 of the bill of lading terms and conditions, each “Merchant” is jointly and severally responsible for the payment of freight/demurrage/storage costs, and shall be liable for and/or indemnify and/or hold harmless the ONE against such costs.

41. ONE is an innocent party who dutifully delivered the cargo of containers to Houston, Texas and fully performed all of its contractual obligations under Bill of Lading No. ONESAOU24596300.

⁹ See Ex. 2 at p. 1.

42. However, freight/demurrage/storage costs were allowed to accrue by the “Merchants” to Bill of Lading ONESAOU24596300, *i.e.*, Pacific Lumber, Evolution, AGL Transportes, AGL Cargo, and Greatway.

43. ONE has demanded payment of the accrued freight/demurrage/storage costs from the Merchants, to no avail. The Merchants’ refusals to pay ONE \$98,950.00 for the accrued freight/demurrage/storage costs is a breach of their contractual obligations, which has damaged ONE.

VI. DAMAGES

44. As a direct result of the Defendants’ respective breaches and/or failures to comply with their contractual obligations under Bill of Lading No: ONEYSAOU24000400 and Bill of Lading No: ONEYSAOU24596300, ONE has been damaged in the principal amount of \$211,875.00 dollars. ONE has also incurred legal fees and costs in an effort to enforce the contractual obligations contained in both of the bills of lading. In addition to these damages, legal fees, and costs, ONE seeks recovery from Defendants of all pre- and post-judgment interest and costs of court.

VII. PRAYER

WHEREFORE, premises considered, Plaintiffs, Ocean Network Express (North America) Inc. and Ocean Network Express Pte.. Ltd., ask that judgment be entered in their favor and against Defendants, Pacific Lumber Resources, Inc., South Service Trading S.A., Greatway Logistics Group, LLC, Evolution Commercial Exportadora Ltda., AGL Transportes Internacionais Ltda-EPP, and AGL Cargo LLC, for Plaintiffs’ damages attributable to the Defendants’ breaches and/or failures to comply with their contractual obligations under each bill of lading at issue, plus attorney

fees, costs of court, and pre-judgment and post-judgment interest. Plaintiffs further pray for all other such relief to which they may be entitled at law or in equity.

Respectfully submitted,

/s/ Ivan M. Rodriguez
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**ATTORNEYS FOR PLAINTIFFS
OCEAN NETWORK EXPRESS
(NORTH AMERICA) INC. AND
OCEAN NETWORK EXPRESS PTE.
LTD.**

OF COUNSEL: PHELPS DUNBAR LLP

CERTIFICATE OF SERVICE

I certify that on the 12th day of August, 2020, a true and correct copy of the foregoing document was served on all counsel of record in accordance with the Federal Rules of Civil Procedure.

/s/ Andrew R. Nash
Andrew R. Nash

**IN THE UNITED STATES DISTRICT COURT
FOR THE SOUTHERN DISTRICT COURT OF TEXAS
HOUSTON DIVISION**

**OCEAN NETWORK EXPRESS §
(NORTH AMERICA) INC. AND §
OCEAN NETWORK EXPRESS PTE. LTD., §**

Plaintiffs, §

V. CASE NO.: 4:20-CV-1734

V. §

**PACIFIC LUMBER RESOURCES, INC., §
SOUTH SERVICE TRADING S.A., §
GREATWAY LOGISTICS GROUP, LLC, §
EVOLUTION COMERCIAL EXPORTADORA §
LTDA., AGL TRANSPORTES §
INTERNACIONAIS LTDA-EPP, AND AGL §
CARGO LLC, §**

Defendants. §

**DEFENDANT GREATWAY LOGISTICS GROUP, LLC’S ANSWER AND
AFFIRMATIVE DEFENSES TO PLAINTIFF’S FIRST AMENDED COMPLAINT AND
COUNTER CLAIM**

COMES NOW, Defendant Greatway Logistics Group, LLC (“Greatway”), by and through the undersigned counsel, to answer the allegations brought against it by Plaintiffs, Ocean Network Express (North America) Inc. and Ocean Network Express Pte. Ltd. (“ONE” or the “Plaintiffs”), as follows:

**I.
JURISDICTION AND VENUE**

1. Greatway admits paragraph 1 for jurisdictional purposes only.

**EXHIBIT
B**

2. Greatway admits paragraph 2 for venue purposes only. Greatway denies that it is bound by the bills of lading at issue.

II. PARTIES

3. Greatway has insufficient information as to paragraph 3; therefore, denied.

4. Greatway has insufficient information as to paragraph 4; therefore, denied.

5. Greatway has insufficient information as to paragraph 5; therefore, denied.

6. Greatway has insufficient information as to paragraph 6; therefore, denied.

7. Greatway admits that it is a Florida limited liability company, that it does not maintain a registered agent in Texas, that it does not maintain a regular place of business in Texas, and that it may be served by means permissible by the Federal Rules of Civil Procedure; and denies the rest.

8. Greatway has insufficient information as to paragraph 8; therefore, denied.

9. Greatway has insufficient information as to paragraph 9; therefore, denied.

10. Greatway has insufficient information as to paragraph 10; therefore, denied.

III. FACTS

A. The Shipments and Unpaid Charges

11. Greatway admits that ONE's claims are for unpaid charges arising under two bills of lading for two shipments of pine plywood from Brazil to the United States. The remainder of the allegations in paragraph 11 are denied.

12. Greatway admits paragraph 12.

13. Greatway has insufficient information as to paragraph 13; therefore, denied.

14. Greatway admits that U.S. Customs cleared the cargo containers shipped under bills of lading No. ONEYSAOU24000400 on November 2, 2018, and No. ONEYSAOU24596300 on November 7, 2018. Greatway did not work with U.S. Customs for any purpose, and has insufficient information as to the remainder of paragraph 14, therefore, denied.

15. Greatway denies that there was a commercial dispute between it and other defendants. Greatway has insufficient information as to the remainder of paragraph 15, therefore, denied.

16. Greatway has insufficient information as to paragraph 16; therefore, denied.

17. Greatway denies that it had any differences with other defendants and that Pacific Lumber ultimately resolved its differences with Greatway. Greatway has insufficient information as to the remainder of paragraph 17, therefore, denied.

18. Greatway has insufficient information as to paragraph 18; therefore, denied.

19. Greatway has insufficient information as to paragraph 19; therefore, denied.

20. Greatway denies that it worked through any commercial dispute with other defendants. Greatway has insufficient information as to the remainder of paragraph 20, therefore, denied.

21. Greatway has insufficient information as to paragraph 21; therefore, denied.

22. Greatway denies that it has wrongfully refused, and continues to refuse, to pay the charges. Greatway was never asked by ONE to pay the charges before this lawsuit was filed. Greatway is not liable for the charges and there is nothing wrongful in refusing to pay the charges. Greatway has insufficient information as to the remainder of paragraph 22, therefore, denied.

B. Terms and Conditions of the Bills of Lading

23. Greatway denies that it is jointly and severally liable for and must pay the charges at issue and denies that it is bound by the bills of lading. As to the allegations in which Plaintiffs quote from the bills of lading, Greatway states that the bills of lading speak for themselves. The remainder of the allegations in paragraph 23 are denied.

24. Greatway denies all the allegations in paragraph 24 as they pertain to Greatway. Greatway has insufficient information as to the remainder of paragraph 24, therefore, denied.

25. Greatway denies that it meets the definition of “Merchant” and denies that it is liable to ONE. Greatway has insufficient information as to the remainder of paragraph 25, therefore, denied.

a. Greatway has insufficient information as to paragraph 25(a); therefore, denied.

b. Greatway has insufficient information as to paragraph 25(b); therefore, denied.

c. Greatway has insufficient information as to paragraph 25(c); therefore, denied.

d. As to the allegation that Greatway was listed as the “Notify Party” on bill of lading No. ONESAOU24000400, the document speaks for itself. Greatway was listed by ONE as the “Notify Party” without its knowledge or consent. Greatway admits that Greatway did advise that the goods had already been cleared through U.S. Customs and U.S. Customs would not allow changes to the bills of lading. Greatway denies the remainder of the allegations in paragraph 25(d).

e. Greatway has insufficient information as to paragraph 25(e); therefore, denied.

IV.

**CAUSE OF ACTION: CONTRACTUAL LIABILITY AS “MERCHANTS” UNDER THE
EXPRESS TERMS OF THE BILL OF LADING NO. ONESAOU24000400**

26. Greatway incorporate the preceding responses to paragraphs 1 to 25 and their respective subparagraphs, as if fully set forth in this section.

27. As to Greatway was identified as “Notify Party” on the bill of lading No.

ONESAOU24000400, the document speaks for itself. Greatway denies that it is a party to the maritime contract of carriage contained in said bill of lading. Greatway denies that it explicitly meets the definition of “Merchant.” Greatway has insufficient information as to the remainder of paragraph 27, therefore, denied.

28. Greatway denies paragraph 28.

29. Greatway has insufficient information as to paragraph 29; therefore, denied.

30. Greatway admits that it advised the goods had already been cleared through U.S. Customs and that U.S. Customs would not allow changes to the bill of lading after the fact of arrival and release to the party named thereon. Greatway denies the remainder of paragraph 30.

31. Greatway states that Clauses 6, 13, and 21 of the bill of lading terms and conditions speak for themselves. Therefore, paragraph 31 and the implication that Greatway is a Merchant and jointly and severally liable are denied.

32. Greatway has insufficient information as to paragraph 32; therefore, denied.

33. Greatway denies that it was a Merchant and that it allowed the freight/demurrage/storage costs to accrue. Greatway has insufficient information as to the remainder of paragraph 33, therefore, denied.

34. Greatway denies that ONE has demanded payment of the accrued freight/demurrage/storage costs from it prior to this lawsuit. Greatway denies that it was a “Merchant,” denies that it owed any contractual obligations to ONE, and denies that it breached any contractual obligations. Greatway has insufficient information as to the remainder of paragraph 34, therefore, denied.

V.

**CAUSE OF ACTION: CONTRACTUAL LIABILITY AS “MERCHANTS” UNDER THE
EXPRESS TERMS OF THE BILL OF LADING NO. ONESAOU24596300**

35. Greatway incorporate the preceding responses to paragraphs 1 to 25 and their respective subparagraphs, as if fully set forth in this section.

36. Greatway admits paragraph 36.

37. Greatway has insufficient information as to paragraph 37; therefore, denied.

38. Greatway has insufficient information as to paragraph 38; therefore, denied.

39. Greatway admits that it advised the goods had already been cleared through U.S. Customs and U.S. Customs would not allow changes to the bill of lading. Greatway denies the remainder of paragraph 39.

40. Greatway states that Clauses 6, 13, and 21 of the bill of lading terms and conditions speak for themselves. Therefore, paragraph 31 and the implication that Greatway is a Merchant and jointly and severally liable are denied.

41. Greatway has insufficient information as to paragraph 41; therefore, denied.

42. Greatway denies that it was a Merchant and that it allowed the freight/demurrage/storage costs to accrue. Greatway has insufficient information as to the remainder of paragraph 42; therefore, denied.

43. Greatway denies that ONE has demanded payment of the accrued freight/demurrage/storage costs from it prior to this lawsuit. Greatway denies that it was a “Merchant,” denies that it owed any contractual obligations to ONE, and denies that it breached any contractual obligations. Greatway has insufficient information as to the remainder of paragraph 43, therefore, denied.

VI.
DAMAGES

44. Greatway denies that it owed any contractual obligations to ONE and denies that it breached and/or failed to comply with any contractual obligations. Greatway denies that ONE are entitled to any of their requested relief from Greatway. Greatway has insufficient information as to the remainder of paragraph 44, therefore, denied.

VII.
PRAYER

WHEREFORE, having answered and defended against the allegations of this cause, Greatway prays that ONE taking nothing from this action, that any costs of defense including, but not limited to, reasonable attorney’s fees and costs, be awarded to Greatway, and that this Court award any such further relief as may be just and proper in favor of Greatway.

AFFIRMATIVE DEFENSES

45. For its First Affirmative Defense, Greatway denies all allegations of the Complaint it does not specifically admit and demands strict proof thereof.

46. For its Second Affirmative Defense, Greatway alleges that Plaintiff fails to state a claim upon which relief can be granted.

47. For its Third Affirmative Defense, Greatway states that Plaintiff Ocean Network Express (North America) Inc.’s claims are barred, in whole or in part, due to lack of standing. Ocean

Network Express (North America) Inc. is not a party to either of the bills of lading yet it purports to bring a cause of action for breach of the bills of lading, and there is nothing alleged or attached to the First Amended Complaint to demonstrate any right of Ocean Network Express (North America) Inc. to bring such cause of action.

48. For its Fourth Affirmative Defense, Greatway states that ONE's claims are barred, in whole or in part, because Greatway is not a party to the bills of lading, never assented or agreed to be bound by the bills of lading, and there is no privity between ONE and Greatway.

49. For its Fifth Affirmative Defense, Greatway states that ONE's claims are barred, in whole or in part, because Greatway does not meet the definition of "Merchant" in the bills of lading.

50. For its Sixth Affirmative Defense, Greatwat states that ONE's claims are barred, in whole or in part, because Greatway was not an agent of any Merchant(s) so as to fall within the definition of Merchant in the bills of lading.

51. For its Seventh Affirmative Defense, Greatway states that ONE's claims are barred, in whole or in part, because the definition of "Merchant" in the bills of lading is ambiguous, vague, overly broad, and unenforceable, and it would be against public policy to hold Greatway liable under such a definition.

52. For its Eighth Affirmative Defense, Greatway states that ONE's claims are barred, in whole or in part, because even if Greatway was an agent of another Merchant, that Merchant's identity was disclosed to ONE. Under maritime law, an agent is not liable for its disclosed principal's breach.

53. For its Nineth Affirmative Defense, Greatway states that ONE's claims are barred, in whole or in part, because ONE, through their own conduct, negligence, inattention, actions, or

inactions, failed to satisfy conditions precedent to the performance of the bills of lading, through no fault of Greatway.

54. For its Tenth Affirmative Defense, Greatway states that ONE's claims are barred, in whole or in part, because there was no meeting of the minds between ONE and Greatway with regard to the bills of lading, and therefore the bills of lading are unenforceable as against Greatway.

55. For its Eleventh Affirmative Defense, Greatway states that ONE's claims are barred, in whole or in part, because there was no consideration between ONE and Greatway with regard to the bills of lading, and therefore the bills of lading are unenforceable as against Greatway.

56. For its Twelfth Affirmative Defense, Greatway states that ONE's claims are barred, in whole or in part, because any damage or harm sustained by ONE was the direct and proximate result of independent, intervening, negligent, and/or unlawful conduct of independent third parties or their agents, and not by any act or omission on the part of Greatway.

57. For its Thirteenth Affirmative Defense, Greatway states that ONE's claims are barred, in whole or in part, because Greatway had no knowledge of the terms and conditions of the bills of lading allegedly binding ONE as a "Merchant" of "agents" of the Merchants and therefore cannot be bound by them.

58. For its Fourteenth Affirmative Defense, Greatway states that ONE's claims are barred, in whole or in part, by the conduct, actions, and/or inactions of ONE which amount to and constitute a waiver.

58. For its Fifteenth Affirmative Defense, Greatway states that ONE's claims are barred, in whole or in part, by the conduct, actions, and/or inactions of ONE which amount to and constitute an estoppel of ONE's claims and any relief sought thereby.

59. For its Sixteenth Affirmative Defense, Greatway states that ONE's claims are barred, in whole or in part, by the doctrine of laches because ONE knew of the alleged acts of Greatway yet delayed unreasonably in asserting their rights.

60. For its Seventeenth Affirmative Defense, Greatway states that ONE's claims are barred, in whole or in part, because of the doctrine of unclean hands due to ONE's wrongful and/or inequitable conduct.

61. For its Eighteenth Affirmative Defense, Greatway states that ONE's claims are barred, in whole or in part, due to unforeseeable intervening causes.

62. For its Nineteenth Affirmative Defense, Greatway states that ONE's alleged damages, if any, must be limited to the terms and conditions of its bills of lading.

63. For its Twentieth Affirmative Defense, Assuming that ONE suffered any damages, Greatway states that ONE's claims are barred, in whole or in part, because ONE failed to mitigate their alleged damages or take other reasonable steps to avoid or reduce their alleged damages.

64. For its Twenty-first Affirmative Defense, Greatway states that ONE's recovery, if any, is subject to a right of setoff.

65. For its Twenty-second Affirmative Defense, Greatway states that ONE's claims are barred, in whole or in part, by the doctrine of impossibility of performance.

66. For its Twenty-third Affirmative Defense, Greatway states that ONE's claims are barred, in whole or in part, by the doctrine of impracticability of performance.

67. For its Twenty-fourth Affirmative Defense, Greatway states that ONE's claims are barred, in whole or in part, by the doctrine of frustration of purpose.

68. For its Twenty-fifth Affirmative Defense, Greatway states that ONE's claims are barred, in whole or in part, by the doctrine of commercial frustration.

69. For its Twenty-sixth Affirmative Defense, Greatway states that ONE's claims are barred, in whole or in part, because it is against public policy for non-signatories to be bound to and held liable to terms and obligations of contracts to which the non-signatories never negotiated, assented, or agreed to be bound.

70. For its Twenty-seventh Affirmative Defense, Greatway states that Plaintiffs' claims are barred, in whole or in part, because the definition of "freight" in the Bills of Lading is overly broad and impermissibly combines transportation costs (part of the contract of carriage reflected in a customary and normal bill of lading) with other costs such as demurrage, detention, and so on (which are not included as "freight" in a contract of carriage in a customary and normal bill of lading). In the ordinary course of business in the industry, the definition of "freight" does not commingle transportation costs with other costs such as demurrage, detention, and so on, and the definition of "freight" in the Bills of Lading goes against normal commercial customs and practices.

71. For its Twenty-eighth Affirmative Defense, Greatway states that Plaintiffs' claims are barred, in whole or in part, because in the event Greatway is found liable for any damages to Plaintiffs, Defendants are entitled to contribution from Co-Defendants, Pacific Lumber Resources, Inc., South Service Trading S.A., Evolution Comercial Exportadora LTDA., AGL TRANSPORTES INTERNACIONAIS LTDA-EPP ("AGL"), AGL CARGO LLC and any other third parties that may be liable to Plaintiffs.

72. For its Twenty-ninth Affirmative Defense, Greatway states that Plaintiffs' claims are barred, in whole or in part, because Greatway is without fault and entitled to indemnification from Co-Defendants, Co-Defendants, Pacific Lumber Resources, Inc., South Service Trading S.A.,

Evolution Comercial Exportadora LTDA., AGL TRANSPORTES INTERNACIONAIS LTDA-EPP (“AGL”), AGL CARGO LLC and any other third parties that may be liable to Plaintiffs.

73. For its Thirtieth Affirmative Defense, Greatway states that Plaintiffs’ claims are barred, in whole or in part, because any damages sustained by Plaintiffs were caused by individuals and/or entities over which Defendants did not exert control.

74. For its Thirty-first Affirmative Defense, without admitting liability, Greatway states that if they are found to have been engaged in any of the activities alleged in Amended Complaint, such activities were de minimis and not the cause of any damages to Plaintiffs.

75. For its Thirty-second Affirmative Defense, Greatway states that Plaintiffs’ claims are barred, in whole or in part, because Plaintiffs failed to act in a commercially reasonable manner.

76. For its Thirty-third Affirmative Defense, Greatway states that Plaintiffs’ claims are barred, in whole or in part, because without admitting liability, if Greatway is found to be bound by the Bills of Lading, then Greatway is fraudulently induced into being bound by the Bills of Lading.

77. For its Thirty-fourth Affirmative Defense, Greatway states that Plaintiffs’ claims are barred, in whole or in part, due to the doctrine of mutual mistake in the formation of any contracts.

78. For its Thirty-fifth Affirmative Defense, Greatway states that Plaintiffs’ claims are barred, in whole or in part, due to complete performance by Greatway.

79. For its Thirty-sixth Affirmative Defense, Greatway states that Plaintiffs’ claims are barred, in whole or in part, due to the doctrine of unconscionability. Plaintiffs cannot enforce the Bills of Lading because the terms are substantively or procedurally unconscionable.

80. For its Thirty-seventh Affirmative Defense, Greatway states that Plaintiffs’ claims are barred, in whole or in part, due to the doctrine of justification, as the conduct of Greatway was legally justified.

81. For its Thirty-eighth Affirmative Defense, Greatway states that Plaintiffs' claims are barred, in whole or in part, due to Plaintiffs' ratification of the acts of Greatway.

82. For its Thirty-ninth Affirmative Defense, Greatway states that Plaintiffs' claims are barred, in whole or in part, because as between Plaintiffs and Greatway, the equities do not preponderate in favor of Plaintiffs to allow recovery.

83. For its Fortieth Affirmative Defense, Greatway reserves the right to amend its Answer to allege additional affirmative defenses.

COUNTERCLAIMS

FIRST COUNTERCLAIM (Attorney's Fees)

To the extent there is a contractual or statutory right to attorney fees, Greatway affirmatively pleads a counterclaim for its attorney fees and costs arising thereunder

JURY TRIAL DEMAND

Greatway demands a jury trial on all issues so triable.

Respectfully submitted,

/s/ Shanshan Liang
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Counsel to Greatway Logistics Group, LLC

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that a true and correct copy of the foregoing was served by CM/ECF on October 22, 2020 on all counsel of record.

/s/ Shanshan Liang
Shanshan Liang
Pennington, P.A.

**IN THE UNITED STATES DISTRICT COURT
FOR THE SOUTHERN DISTRICT OF TEXAS
HOUSTON DIVISION**

OCEAN NETWORK EXPRESS	§	
(NORTH AMERICA) INC. AND	§	
OCEAN NETWORK EXPRESS PTE. LTD.	§	
	§	
Plaintiffs	§	
	§	
V.	§	C.A. NO. 4:20-CV-1734
	§	
PACIFIC LUMBER RESOURCES, INC.,	§	
SOUTH SERVICE TRADING S.A.,	§	
GREATWAY LOGISTICS GROUP, LLC,	§	
EVOLUTION COMERCIAL EXPORTADORA	§	
LTDA., AGL TRANSPORTES	§	
INTERNACIONAIS LTDA-EPP, AND AGL	§	
CARGO LLC	§	
	§	
Defendants	§	

**OCEAN NETWORK EXPRESS PTE. LTD.’S MOTION TO DISMISS
GREATWAY LOGISTICS GROUP, LLC AND ITS COUNTERCLAIMS**

TO THE HONORABLE JUDGE OF SAID COURT:

Plaintiff, Ocean Network Express Pte. Ltd. (“Plaintiff” and/or “ONE”), files this Motion for Voluntary Dismissal of the sole remaining defendant, Greatway Logistics Group, LLC (“Greatway”), pursuant to Federal Rule of Civil Procedure 41(a)(2). ONE’s voluntary dismissal of Greatway will conclude the matter. However, in an abundance of caution, ONE also moves to dismiss Greatway’s time-barred “counterclaim” pursuant to Federal Rule of Civil Procedure 12(b)(6).

**I.
Procedural Posture and Summary**

1. On May 18, 2020, ONE commenced the above-captioned action against Greatway and others, bringing claims for unpaid demurrage/storage/freight charges pursuant to the terms and

EXHIBIT C

conditions of two bills of lading controlling the transportation of goods from Brazil to the United States.

2. On July 31, 2020, approximately eighteen (18) months after delivery of the goods, former-defendant Pacific Lumber Resources, Inc. (“Pacific Lumber”) filed counterclaims against ONE for attorney’s fees, *inter alia*.¹ On December 4, 2020, the Court correctly dismissed those counterclaims, with prejudice, explaining that counterclaims against ONE were barred by the applicable statute of limitations.²

3. Meanwhile, on October 22, 2020, Greatway appeared and answered.³ In its answer, Greatway also asserted the exact same two-line “counterclaim” for attorney’s fees that Pacific Lumber previously attempted.⁴ ONE has not previously answered or otherwise responded to Greatway’s “counterclaim.”

4. Since then, the parties engaged in discovery, settlement negotiations and mediation, and ONE settled with some of the originally-named defendants and voluntarily dismissed others. Greatway is the sole remaining defendant, and ONE wishes to voluntarily dismiss Greatway, which will conclude the matter.

5. Out of an abundance of caution, however, ONE also requests dismissal of Greatway’s “counterclaim.” As previously and correctly recognized by this Court, the “counterclaim” is time-barred by the one year limitations period in the Carriage of Goods by Sea Act (“COGSA”),⁵ and the one year contractual limitations period contained in the respective bills

¹ See [Dkt. 19]; *accord* [Dkt. 33].

² See [Dkt. 53 at 2].

³ [Dkt. 46].

⁴ Compare *id.* at 13, with [Dkts. 19 & 33]

⁵ 46 U.S.C. § 30701, Historical and Revision Notes at Sec. 3(6). For ease, ONE will cite to the Carriage of Goods by Sea Act as “COGSA § x”, as appropriate. See COGSA §16.

of lading.⁶ Moreover, there is no statutory or contractual basis for Greatway to claim attorney's fees against ONE.

II.

Underlying Factual Background

6. In November 2018, ONE transported ten containers of plywood from Brazil to Houston in two shipments, governed by two bills of lading. Greatway was explicitly identified as the "Notify Party" on one of the bills of lading. Greatway also assisted in completing and submitting paperwork to U.S. Customs to secure clearance of the goods carried for the named consignee, Pacific Lumber.

7. While the containers were awaiting retrieval by Pacific Lumber in Houston, there was a dispute between Pacific Lumber and its commercial counterparts in Brazil regarding the goods. Despite having transported the goods to Houston, ONE was not paid the earned-freight for the ocean carriage until January 17, 2019. Upon payment, ONE released the goods to Pacific Lumber at Port of Houston.

8. Between the arrival of the goods at the Port of Houston in November 2018 and their ultimate retrieval by Pacific Lumber in late January 2019, the shipments accrued storage and demurrage charges related to the delay in retrieval. These charges made up the principal of ONE's claim against the defendants in this matter.

IV.

ARGUMENTS AND AUTHORITIES

a. Voluntary dismissal of ONE's claims against Greatway is appropriate.

9. Under Rule 41(a)(2), "[e]xcept as provided in Rule 41(a)(1), an action may be dismissed at the plaintiff's request only by court order, on terms that the court considers proper."

⁶ See [Dkt. 53 at 2].

FED. R. CIV. P. 41(a)(2). Though the decision is within the sound discretion of the Court, voluntary dismissal “should be freely granted unless the non-moving party will suffer some plain legal prejudice other than the mere prospect of a second lawsuit.” *Elbaor v. Tripath Imaging, Inc.*, 279 F.3d 314, 317 (5th Cir. 2002) (emphasis added) (citing *Manshack v. Southwestern Elec. Power Co.*, 915 F.2d 172, 174 (5th Cir. 1990)).

10. Here, Greatway will not suffer any prejudice by ONE’s voluntary dismissal. Indeed, ONE has settled with other defendants regarding the underlying occurrence and no longer desires to pursue further litigation related to these bills of lading. Accordingly, ONE respectfully requests that the Court grant its motion and dismiss Greatway.

b. Dismissal of Greatway’s time-barred “counterclaim” for attorney’s fees is also appropriate.

11. Federal Rule of Civil Procedure 12(b)(6) provides that a party may move to dismiss a claim for “failure to state a claim upon which relief may be granted.” FED. R. CIV. P. 12(b)(6). To survive a motion to dismiss based upon Rule 12(b)(6), a complaint “must contain sufficient factual matter, accepted as true, to state a claim to relief that is plausible on its face.” *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009). “Dismissal can be based either on a lack of a cognizable legal theory or the absence of sufficient facts alleged.” *Alam v. Fannie Mae*, No. H-02-4478, 2005 WL 8168877, at *10 (S.D. Tex. Sept. 29, 2005).

12. Here, Greatway cannot allege a valid counterclaim for attorney’s fees against ONE arising from the shipments at issue. In fact, on December 4, 2020, the Court correctly dismissed an identical “counterclaim” filed by former defendant, Pacific Lumber, because it was barred by the applicable statute of limitations.⁷ The same rationale applies here as detailed below.

⁷ See [Dkt. 53 at 2].

13. It is undisputed that the shipments arrived in Houston in November 2018 and were delivered to Pacific Lumber in January 2019. Greatway’s “counterclaim” against ONE was not brought until October 22, 2020, approximately ten (10) months outside of the applicable one-year limitations period. Accordingly, as the Court already correctly recognized for Pacific Lumber’s attempted “counterclaim,” Greatway’s “counterclaim” must be dismissed as a matter of law.⁸

i. COGSA applies.

14. COGSA governs shipments to and from United States ports under bills of lading and preempts state law when it applies. COGSA § 13; *Ziegler v. Subalipack (M) SDN BHD*, No. H-16-2598, 2017 WL 3480684 at *2 (S.D. Tex. Aug. 14, 2017); *see also Cargill Ferrous Int’l v. M/V MEDI TRADER*, 513 F. Supp. 2d 609, 616 (E.D. La. 2007) (applying COGSA to claim by consignee against carrier for cargo damage). Here, it is undisputed that ONE was the carrier of the shipments covered by the bills of lading, and Greatway was the notify party on one of the bills of lading.⁹

15. The bills of lading specifically reference COGSA in Clause 26, the “US Clause Paramount,” which provides in pertinent part:

If the Carriage covered by the Bill includes Carriage to or from a port or place in the United States of America, including its districts, territories and possessions, this Bill shall be subject to US COGSA, the terms of which are incorporated herein and US COGSA shall govern throughout the entire Carriage set for in this Bill (not just Waterborne Carriage) from the time of receipt of the Goods to the time of delivery of the [G]oods.¹⁰

16. Further, Clause 22.3 of the bills of lading, entitled “Notice of Claim and Time for Suit” explicitly states in pertinent part:

⁸ See [Dkt. 53 at n. 2].

⁹ See *generally Exhibit 1* to [Dkt. 20] at p. 1 (identifying ONE as carrier and Greatway as consignee); [Dkt. 46] *passim* (contending that the Bills of Lading speak for themselves).

¹⁰ See *Exhibits 1* to [Dkt. 20] at § 26.1.

In any event, except as provided in Clause 22.2, the Carrier shall be discharged from all liability whatsoever in respect to the Goods unless suit is brought within one year after delivery of the Goods or the date when the Goods should have been delivered.¹¹

Accordingly, ONE's liability, if any, is to be determined solely under COGSA and the express provisions of the bills of lading.

ii. COGSA's one-year statute of limitations

17. Section 3(6) of COGSA states that “the carrier and the ship shall be discharged from all liability in respect of loss or damage unless suit is brought within one year after the delivery of the goods or the date when the goods should have been delivered.” COGSA § 3(6). COGSA's one-year limitations period also applies to claims for loss or damage caused by delay. *See, e.g., Commercio Transito Internazionale, Ltd. v. Lykes Bros. S.S. Co., Inc.*, 243 F.2d 683, 686 (2d Cir. 1957).

18. “Delivery” is “the point at which the carrier has fulfilled its responsibilities to carry, discharge, and otherwise perform its contractual duties with respect to the cargo. ‘Delivery’ occurs when the carrier places the cargo into the custody of whomever is legally entitled to receive it from the carrier.” *Servicios-Expoarma, C.A. v. Industrial Maritime Carrier*, 135 F.3d 984, 992 (5th Cir. 1998). Once a carrier has properly placed the cargo in the hands of the of the party authorized to receive it, the one-year statute of limitations period begins to run. *Ziegler*, 2017 WL 3480684 at *2 (citing *Servicios-Expoarma*, 135 F.3d at 993).

19. Here, it is undisputed that the shipments covered by the bills of lading were delivered in January 2019 when Pacific Lumber retrieved them from the Port of Houston. However, no claim of any kind for loss or damage resulting from the alleged delay in delivery was made against ONE related until July 31, 2020, when Pacific Lumber attempted a counterclaim for

¹¹ See Exhibits 1 to [Dkt. 20] at § 22.3.

attorney's fees *inter alia*. This Court correctly dismissed Pacific Lumber's claims as time-barred.¹² Clearly, then, Greatway's October 22, 2020 attempt to allege the same *verbatim* "counterclaim" for attorney's fees must also be dismissed as time barred.

iii. COGSA does not provide a basis for a claim for attorney's fees against ONE.

20. Like Pacific Lumber before it, Greatway cannot point to any contractual provision entitling it to an award of attorney's fees.¹³ Moreover, COGSA, does not provide a statutory basis for a notify party, (in this case Greatway), to recover attorney's fees against the carrier. *See, e.g., Vistar, S.A. v. M/V SEALAND EXPRESS*, 680 F. Supp. 855, 858 (S.D. Tex. 1987) ("Although Congress undoubtedly could have explicitly provided for the award of attorney's fees to a party prevailing in a suit based upon COGSA, no such statutory authorization appears in the Act").

PRAYER

WHEREFORE, premises considered, Plaintiff, Ocean Network Express Pte. Ltd., respectfully requests that Greatway Logistics Group, LLC be voluntarily dismissed; that Greatway Logistics Group, LLC's counterclaim be dismissed with prejudice; and that Plaintiff further receive all other such relief to which it may be entitled at law or in equity.

¹² [Dkt. 53] at 2.

¹³ To the contrary, attorney fee provisions in the bills of lading run only in favor of ONE as "Carrier" and not in favor of a "Merchant," such as Greatway. *See* [Dkt. 20-1] and [Dkt. 20-2] at § 6.5 ("The *Merchant* shall be liable to the *Carrier* for the payment of all Freight and/or expenses including but not limited to court costs, legal fees and expenses incurred in collecting monies due to the Carrier.") (emphasis added).

Respectfully submitted,

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**ATTORNEYS FOR PLAINTIFF
OCEAN NETWORK EXPRESS PTE.
LTD.**

OF COUNSEL: PHELPS DUNBAR LLP

CERTIFICATE OF CONFERENCE

Pursuant to Local Rule 7(D), Plaintiff's motion to dismiss Greatway Logistics Group, LLC's counterclaim under Federal Rule 12(b) does not require a certificate of conference. With regard to Plaintiffs' motion for voluntary dismissal under Federal Rule 41(a)(2), opposing counsel has repeatedly indicated that Greatway Logistics Group, LLC is amenable to being dismissed from this case. At the same time, opposing counsel claims that Greatway Logistics Group, LLC has a potential claim against Plaintiff but opposing counsel refuses to discuss the particulars of that claim. Accordingly, the parties' cannot agree about the disposition of Plaintiffs' motion for voluntary dismissal under Federal Rule 41(a)(2).

/s/ Andrew R. Nash
Andrew R. Nash

CERTIFICATE OF SERVICE

I certify that on the 25th day of May, 2021, a true and correct copy of the foregoing document was served on all counsel of record in accordance with the Federal Rules of Civil Procedure.

/s/ Andrew R. Nash
Andrew R. Nash

Rule of Civil Procedure 59(e) “must clearly establish either a manifest error of law or fact or must present newly discovered evidence.” *Brown v. DFS Servs., LLC*, 719 F. Supp. 2d 785, 788 (S.D. Tex. 2010). A Rule 59(e) motion to reconsider should not be granted unless the movant can show: (1) an intervening change in controlling law; (2) the availability of new evidence previously not available; or (3) the need to correct a clear error of law or fact or to prevent a manifest injustice.” *Id.* The dismissal of Greatway’s counterclaims with prejudice is clearly erroneous at law and presents manifest injustice to Greatway.

I. Procedural Defect - Violation of Local Rule 7.3

Pursuant to Southern District of Texas Local Rule 7.3, “opposed motions will be submitted to the judge 21 days from filing.” S.D.Tex.R. 7.3 (2000). Plaintiff’s motion was filed on May 25, 2021, and the order granting the motion was issued the very next day, on May 26, 2021. Greatway was not given the requisite amount of time to respond to Plaintiff’s motion and the effects of the order may adversely impact Greatway since its counterclaims have been dismissed with prejudice. This is both a clear error of law and a manifest injustice. Greatway was not given the requisite amount of time to respond to Plaintiff’s dispositive motion as provided for in Local Rule 7.3. In fact, fewer than 24 hours passed between the filing of Plaintiff’s motion and the order granting Plaintiff’s motion. Moreover, the order dismissing the counterclaims with prejudice does not indicate this Court’s reasoning for dismissal with prejudice. The inability to respond to Plaintiff’s motion and this Court’s subsequent dismissal of Greatway’s counterclaim with prejudice may adversely affect Greatway since Greatway filed a complaint against ONE before the Federal Maritime Commission (“FMC”) for violation of the Shipping Act prior to ONE’s filing of its motion to dismiss.

II. Substantive Defect - Not All of Greatway's Counterclaims Are Time-barred

Plaintiff moved to dismiss Greatway's counterclaim on the ground that it failed to state a claim upon which relief could be granted. Plaintiff claimed the counterclaim was time-barred pursuant to The Carriage of Goods by Sea Act ("COGSA") (46 U.S.C. § 30701 *et seq.*). Only counterclaims governed by COGSA can be dismissed with prejudice. The Carriage of Goods by Sea Act (COGSA) was enacted in 1936 as part of an international effort to allocate the risks of loss or damage to cargo transported internationally. *Associated Metals & Mins. Corp. v. ALEXANDER'S UNITY MV*, 41 F.3d 1007, 1014 (5th Cir. 1995) (citing Michael F. Sturley, *The History of COGSA and the Hague Rules*, 22 J.Mar.L. & Com. 1, 5 (1991); Gilmore & Black, *supra*, at 139–45). COGSA governs certain aspects of claims for damage to cargo and provides carriers with certain defenses. *Id.* at 1017. COGSA does not apply to Greatway's counterclaims of attorney's fees because the counterclaims do not arise from damage to or delay of goods.

Greatway was neither the shipper nor the consignee on the bills of lading (ONEYSAOU24596300, ONEYSAOU2400400) subject to this lawsuit. It suffers no damages resulting from the damage, loss, or delay of the goods. Greatway was not a party to the bill of lading contracts subject of this lawsuit. Greatway seeks attorney's fees it incurred defending Plaintiff's claims for damages resulting from contracts to which Greatway was not even a party. Its counterclaims for attorney's fees arise from other statutory provisions, such as the violation of the Shipping Act, or Texas Deceptive Trade Practices-Consumer Protection Act ("DTPA"), or from common law principles, such as abuse of process. These claims are not governed by COGSA thus not subject to COGSA's one-year statute of limitations. They cannot be dismissed with prejudice.

Greatway's claims against ONE for its violation of the Shipping Act could not have been brought in this lawsuit. The Federal Maritime Commission ("FMC") has exclusive jurisdiction to administer Shipping Act claims. *See Maritrend, Inc. v. Galveston Wharves*, 152 F.R.D. 543, 548 (S.D. Tex. 1993) ("Under the Shipping Act of 1916, the Federal Maritime Commission ("FMC") is vested with authority to oversee and enforce the Shipping Act's provisions."). The Court's sweeping dismissal of Greatway's counterclaims with prejudice can hinder Greatway's Shipping Act violation claims currently pending in the FMC. This is a grave manifest injustice that needs to be corrected.

III. CONCLUSION

For the reasons set forth above, Greatway respectfully requests that the Court reconsider its May 26, 2021 Order Granting Ocean Network Express Pte. Ltd.'s Motion to Dismiss Greatway Logistics Group, LLC and its Counterclaims. The Court should dismiss Greatway's counterclaims without prejudice.

Dated: May 28, 2021

Respectfully submitted,

THE MOONEY LAW FIRM, LLC

/s/ Shanshan Liang

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*Attorneys for Greatway Logistics Group,
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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that a true and correct copy of the foregoing was served by CM/ECF on May 28, 2021, on all counsel of record.

/s/ Shanshan Liang

Shanshan Liang

THE MOONEY LAW FIRM, LLC

**IN THE UNITED STATES DISTRICT COURT
FOR THE SOUTHERN DISTRICT OF TEXAS
HOUSTON DIVISION**

OCEAN NETWORK EXPRESS	§	
(NORTH AMERICA) INC. AND	§	
OCEAN NETWORK EXPRESS PTE. LTD.	§	
	§	
Plaintiffs	§	
	§	
V.	§	C.A. NO. 4:20-CV-1734
	§	
PACIFIC LUMBER RESOURCES, INC.,	§	
SOUTH SERVICE TRADING S.A.,	§	
GREATWAY LOGISTICS GROUP, LLC,	§	
EVOLUTION COMERCIAL EXPORTADORA	§	
LTDA., AGL TRANSPORTES	§	
INTERNACIONAIS LTDA-EPP, AND AGL	§	
CARGO LLC	§	
	§	
Defendants	§	

**OCEAN NETWORK EXPRESS PTE. LTD.’S RESPONSE IN OPPOSITION TO
GREATWAY LOGISTICS GROUP, LLC’S MOTION FOR RECONSIDERATION**

TO THE HONORABLE JUDGE OF SAID COURT:

Plaintiff, Ocean Network Express Pte. Ltd. (“Plaintiff” and/or “ONE”), files this Response in Opposition to the Motion for Reconsideration¹ filed by Greatway Logistics Group, LLC (“Greatway”) regarding the Court’s Order that correctly dismissed Greatway’s baseless counterclaim for attorney’s fees with prejudice.²

I. Greatway’s Motion is Baseless

The Federal Rules of Civil Procedure do not specifically provide for motions for reconsideration. Still, federal courts recognize that a motion asking to change an existing order is

¹ Doc. 68.

² Doc. 67. Greatway’s Motion does not raise an issue with the other portion of the Court’s Order, which granted ONE’s Motion to Voluntarily Dismiss its claims against Greatway.

generally considered under Rule 59(e).³ Such a motion must “clearly establish either manifest error of law or fact or must present newly discovered evidence.”⁴ A motion to change an order is an extraordinary remedy that should be used sparingly.⁵ Indeed, the Court has considerable discretion in addressing a motion for reconsideration, and, “[t]he Rule 59(e) standard favors denial of motions to alter or amend a judgment.”⁶ A motion to reconsider may not be used to relitigate matters or to raise arguments or present evidence that could have been raised before the entry of the judgment or order.⁷

Greatway seeks such extraordinary relief to modify the Court’s Order dismissing its purported, two-line, generalized, counterclaim for attorney’s fees. Greatway cannot, however, identify any manifest error justifying reconsideration.

As this Court is aware, Greatway’s purported counterclaim states in entirety:

To the extent there is a contractual or statutory right to attorney fees, Greatway affirmatively pleads a counterclaim for its attorney fees and costs arising thereunder.⁸

This language is identical to a portion of the counterclaim filed by another former-defendant in the case, Pacific Lumber Resources, Inc. (“Pacific Lumber”).⁹ The Court properly dismissed Pacific Lumber’s counterclaim because such claims were time-barred and there was simply no contractual or statutory right entitling Pacific Lumber to damages against ONE, much less attorney’s fees.¹⁰

³ See, e.g., *Jackson v. Wells Fargo, N.A.*, No. H-20-1172, 2020 WL 7344682 at *1 (S.D. Tex. Dec. 14, 2020) (Rosenthal, J.).

⁴ *Id.* (quoting *Rosenzweig v. Azurix Corp.*, 332 F.3d 854, 863-64 (5th Cir. 2003)).

⁵ *Id.*

⁶ *Id.* (quoting *S. Constructors Group, Inc. v. Dynaletric Co.*, 2 F.3d 606, 611 (5th Cir. 1993)).

⁷ *Id.* (citation omitted).

⁸ Doc. 46 at 13.

⁹ Doc. 41 at 5.

¹⁰ Doc. 53.

Greatway's purported counterclaim for attorney's fees, which is identical to Pacific Lumber's, is also completely unsupported. Accordingly, the Court properly dismissed Greatway's counterclaim, and Greatway did not and cannot point to any manifest error or newly-discovered evidence justifying reconsideration of the Court's Order. Clearly, then, the Motion to Reconsider should be denied.

II. The Court's Dismissal Order is not Procedurally Defective

Greatway is correct that the Court did not wait twenty-one days before granting ONE's Motion to Dismiss Greatway's purported counterclaim for attorney's fees. However, the Court has broad discretion in managing its docket.

Further, Greatway's counterclaim allegations were less than barebones and speculative on their face. In fact, Greatway did not affirmatively allege any right to attorney fees. Rather, it speculated that, "to the extent there is a contractual right to attorney fees," Greatway had a counterclaim. Without alleging some factual or legal basis to the contrary, the "American Rule" requires each party to bear its own attorney's fees in litigation.¹¹

Given the complete absence of any authority supporting Greatway's counterclaim for attorney's fees, the Court was within its discretion to act early in dismissing Greatway's purported counterclaim. This does not amount to any "clear error of law or fact" or "manifest injustice."¹²

III. Greatway's Claims are Time Barred or Unsupported

Greatway also contends that its purported counterclaim for attorney's fees is not time-barred by the one-year limitation period contained in the Carriage of Goods by Sea Act

¹¹ *Alyeska Pipeline Serv. Co. v. Wilderness Soc'y*, 421 U.S. 240, 247 (1975).

¹² See *Bender Square Partners v. Factory Mut. Ins. Co.*, No. 4:10-CV-4295, 2012 WL 1952265 at *4 (S.D. Tex. May 30, 2012) (characterizing "manifest injustice" under the Rule 59(e) standard as a "fundamental flaw in the court's decision that without correction would lead to a result that is both inequitable and not in line with applicable policy") (citations omitted).

(“COGSA”), because its purported counterclaim is not governed by COGSA. ONE respectfully disagrees with this contention for the reasons detailed in ONE’s Motion to Dismiss Greatway’s counterclaim, which ONE adopts and incorporates by reference.¹³ Further, even if Greatway is correct that COGSA does not govern the purported counterclaim for attorney’s fees, Greatway has not and cannot point to any contractual or statutory authority granting Greatway a cause of action or right of recovery for its attorney’s fees incurred in defending ONE’s claims against Greatway in this proceeding.

Greatway’s motion attempts an end-run around the Scheduling Order to present hypothetical bases for its attorney’s fees counterclaim. Specifically, Greatway now argues, (again without any factual allegations or legal support), that its counterclaim for attorney’s fees arises from “other statutory provisions, such as the violation of the Shipping Act, *or* Texas Deceptive Trade Practices Consumer Protection Act (“DTPA”), *or* from common law principles, such as abuse of process.”¹⁴ Greatway’s position is untenable.

Greatway’s reliance on the DTPA is completely misplaced; the Texas consumer protection statute has no application here. To the contrary, the Joint Discovery Case Management Plan specifically states that the Court “has jurisdiction over the subject matter of this case pursuant to 28 USC § 1333,” and that the case is “an admiralty and maritime claim within the meaning of Rule 9(h) of the Federal Rules of Civil Procedure.”¹⁵ Moreover, Greatway’s answer did not contest the application of maritime law and did not seek to apply substantive Texas law, DTPA or otherwise. Simply put, maritime law, not Texas law, governs this case.

¹³ Doc. 66.

¹⁴ Doc. 68 at 3 (emphasis added).

¹⁵ Doc. 23 at ¶ 4. While Greatway had not yet appeared or answered at the time the JDCMP was filed, Greatway did not challenge the Court’s maritime jurisdiction and raised no argument that substantive Texas law should apply over maritime law.

Greatway's assertion, that "common law principles, such as abuse of process" support its claim for attorney's fees, is also not correct. Again, Greatway has not made any allegations to any alleged violations of "common law principles" or "abuse of process," because it cannot.

It is clear ONE had a cause of action against Greatway. As detailed in ONE's Motion to Dismiss Greatway's counterclaim¹⁶ and in ONE's First Amended Complaint,¹⁷ delivery of the goods shipped under the bills of lading bound each "Merchant" (as that term is specifically defined in the terms and conditions) to all the terms and conditions of the respective bills of lading, as well as ONE's applicable tariff, as if the bills of lading were signed by the "Merchant." ONE contended that Greatway met the definition of "Merchant" under the relevant bills of lading. As a "Merchant", the bills of lading afforded ONE a breach of contract cause of action against Greatway for recovery of the freight/demurrage/storage damages sought. Moreover, as a "Merchant," Greatway could be held jointly and severally liable to ONE for unpaid charges due and owing under the respective bills of lading, just as other "Merchants" involved in the underlying transaction or occurrence.

Accordingly, there are no "common law principles" of "abuse of process" that support an award in favor of Greatway for attorney's fees incurred in defending ONE's cognizable and well-supported claims.

With regard to Greatway's contention that it has a claim against ONE under the Shipping Act, Greatway has again failed to provide any details regarding its claim. Instead, Greatway now argues, for the first time in this litigation, that whatever claim it may have against ONE must be filed with the Federal Maritime Commission ("the FMC"), not this Court. However, rather than raise this contention in its responsive pleading at the beginning of the case, Greatway litigated in the Southern District of Texas for nearly a year and actively participated in discovery on the merits.

¹⁶ Doc. 66.

¹⁷ Doc. 20.

Greatway only raised the argument of turning to the FMC, for a second “bite at the apple,” when faced with its purported counterclaim for attorney’s fees being correctly dismissed by this Court. In any event, Greatway has not and cannot point to any authority for the proposition that it is entitled to recover its attorney’s fees incurred in defending the present proceeding as part of any subsequently-filed FMC proceeding. Again, it is clear that this Court correctly dismissed Greatway’s counterclaim.

PRAYER

WHEREFORE, premises considered, Plaintiff, Ocean Network Express Pte. Ltd., respectfully requests that this Court deny the Motion to Reconsider filed by Greatway Logistics Group, LLC and that Plaintiff further receive any and all other relief to which it may be entitled at law or in equity.

Respectfully submitted,

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**ATTORNEYS FOR PLAINTIFF
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LTD.**

OF COUNSEL: PHELPS DUNBAR LLP

CERTIFICATE OF SERVICE

I certify that on the 18th day of June, 2021, a true and correct copy of the foregoing document was served on all counsel of record in accordance with the Federal Rules of Civil Procedure.

/s/ Ivan M. Rodriguez
Ivan M. Rodriguez

Resp. in Opp’n to Def.’s Mot.for Recons., ¶ 2; Jackson v. Wells Fargo N.A., No. H-20-1172, 2020 U.S. Dist. LEXIS 233914, at *2 (S.D. Tex. 2020). In the instant case, Defendant Greatway does not seek to relitigate matters or “to raise arguments which could, and should, have been made before the judgment issued.” Rosenzweig v. Azurix Corp., 332 F.3d 854, 863-64 (5th Cir. 2003) (quoting Simon v. United States, 891 F.2d 1154, 1159 (5th Cir. 1990)). To the contrary, Greatway was not given a reasonable opportunity to respond to ONE’s motion to dismiss Greatway and its counterclaims (Dkt. 66). As stated in its motion for reconsideration, Plaintiff’s motion was filed on May 25, 2021, and the order granting the motion was issued the very next day, on May 26, 2021.

Furthermore, for the reasons set forth below, Greatway could not have, and did not need to have, raised the arguments presented in its motion for reconsideration before the Court issued the order granting the motion to dismiss Greatway and its counterclaims (Dkt. 67).

II. GREATWAY’S CLAIM IS NOT TIME-BARRED

Greatway’s counterclaim reads as follows: “To the extent there is a contractual or statutory right to attorney fees, Greatway affirmatively pleads a counterclaim for its attorney fees and costs arising thereunder.” Answer ¶84. Greatway has a statutory right to attorney’s fees under the Shipping Act if it prevails in its pending suit against ONE before the Federal Maritime Commission (“FMC”). The FMC has exclusive jurisdiction to administer Shipping Act claims. See Maritrend, Inc. v. Galveston Wharves, 152 F.R.D. 543, 548 (S.D. Tex. 1993).

In its opposition to Greatway’s motion for reconsideration, ONE argues that Greatway’s counterclaim for attorney’s fees and costs is identical to the counterclaim filed by former defendant Pacific Lumber Resources, Inc. (“Pacific Lumber”). While the language is similar, the

circumstances are not. Pacific Lumber was undisputedly a party to the bills of lading, and its counterclaims arising from those bills of lading were subject to COGSA's one-year statute of limitations. Unlike Pacific Lumber's counterclaim, Greatway's counterclaim does not, and could not, arise from the bills of lading since Greatway was not a merchant or a party to the bills of lading. ONE seeks to expand the meaning of "Merchant" in the terms and conditions of its bills of lading to reach parties that were not privy to the contracts of carriage and are not bound by these terms. Greatway was not a party to the bills of lading and cannot be considered a merchant.

Even if Greatway is a merchant to ONE's bills of lading, Greatway's counterclaims are not related to cargo loss or damage. COGSA's one-year statute of limitations only applies to cargo loss or damage. See 46 U.S.C.App. § 1303(6) ("In any event the carrier and the ship shall be discharged from all liability *in respect of loss or damage* unless suit is brought within one year after delivery of the goods or the date when the goods should have been delivered.") (emphasis added). In truth, COGSA does not have any provision which establishes a statute of limitations for claims unrelated to cargo delivery or the condition of delivered goods, nor does it purport to govern the conduct of all suits in Admiralty.

Greatway's suit against ONE before the FMC seeking reparations for an injury to Greatway caused by ONE's violation of the Shipping Act was brought within the applicable three-year statute of limitations. See 46 U.S.C. § 41301(a) ("A person may file with the Federal Maritime Commission a sworn complaint alleging a violation of this part, except section 41307(b)(1). If the complaint is filed within 3 years after the claim accrues, the complainant may seek reparations for an injury to the complainant caused by the violation."). Adopting the interpretation sought by ONE would have the effect of eviscerating the Shipping Act's statute of limitations and preventing the

defendant of a frivolous claim from raising any counterclaims as long as the plaintiff brings its case at the end of the one-year limitation mentioned in GOGSA.

Thus, Greatway's counterclaim is not subject to the limitations period imposed under COGSA and ONE's bills of lading and its counterclaim is not time-barred.

III. THIS COURT LACKS JURISDICTION TO DISMISS ANY AND ALL COUNTERCLAIMS FOR ATTORNEY'S FEES

Moreover, as the FMC cause of action is not time-barred and could not have been brought in this forum, this Court lacks jurisdiction to issue a judgment on the merits of Greatway's counterclaim.

ONE alleges that Greatway has not and cannot point to any contractual or statutory authority granting Greatway a cause of action or right of recovery for its attorney's fees incurred in defending ONE's claims against Greatway in this proceeding. Greatway does not need to provide any details regarding its claim before the FMC in this proceeding since this Court has no jurisdiction to consider the issue. A complaint has been filed with FMC and the FMC's Bureau of Enforcement has already intervened, supporting Greatway's claim against ONE.

Greatway did not need to raise this contention in its responsive pleading at the beginning of the case because this Court has no jurisdiction over the claim, and Greatway's claim is the result of cumulative actions by ONE, including actions throughout these proceedings (such as settling with or dismissing foreign parties from the instant case while pursuing Greatway).

Greatway's complaint before the FMC properly indicates statutory authority entitling it to attorney's fees upon a favorable outcome in the proceedings before the FMC. 46 U.S.C. § 41305(e). This Court cannot encroach upon the FMC's jurisdiction by dismissing Greatway's Shipping Act violation claims for attorney's fees with prejudice.

IV. CONCLUSION

For the reasons set forth in its motion for reconsideration and in this reply to ONE's response in opposition to that motion, Greatway respectfully requests that the Court reconsider its May 26, 2021 Order Granting Ocean Network Express Pte. Ltd.'s Motion to Dismiss Greatway Logistics Group, LLC and its Counterclaims. The Court should dismiss Greatway from the lawsuit with prejudice and dismiss Greatway's counterclaims *without* prejudice.

Dated: June 23, 2021

Respectfully submitted,

THE MOONEY LAW FIRM, LLC

/s/ Shanshan Liang

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*Attorneys for Greatway Logistics Group,
LLC*

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that a true and correct copy of the foregoing was served by CM/ECF on June 23, 2021, on all counsel of record.

/s/ Shanshan Liang

Shanshan Liang

THE MOONEY LAW FIRM, LLC

**IN THE UNITED STATES DISTRICT COURT
FOR THE SOUTHERN DISTRICT OF TEXAS
HOUSTON DIVISION**

OCEAN NETWORK EXPRESS	§	
(NORTH AMERICA) INC. AND	§	
OCEAN NETWORK EXPRESS PTE. LTD.	§	
	§	
Plaintiffs	§	
	§	
V.	§	C.A. NO. 4:20-CV-1734
	§	
PACIFIC LUMBER RESOURCES, INC.,	§	
SOUTH SERVICE TRADING S.A.,	§	
GREATWAY LOGISTICS GROUP, LLC,	§	
EVOLUTION COMERCIAL EXPORTADORA	§	
LTDA., AGL TRANSPORTES	§	
INTERNACIONAIS LTDA-EPP, AND AGL	§	
CARGO LLC	§	
	§	
Defendants	§	

**OCEAN NETWORK EXPRESS PTE. LTD.’S OPPOSED MOTION FOR LEAVE TO
FILE SUR-REPLY TO GREATWAY’S MOTION FOR RECONSIDERATION**

Plaintiff, Ocean Network Express Pte. Ltd. (“ONE”), files this Motion for Leave to File Sur-Reply to Defendant Greatway Logistics Group, LLC’s (“Greatway”) Motion for Reconsideration, and respectfully shows the Court as follows:

1. ONE seeks such leave to: (i) clarify the record regarding erroneous assertions of fact and law; and (ii) respond to new arguments raised for the first time in reply, made by Greatway in its Reply to ONE’s Response to its Motion for Reconsideration (Dkt. 70).

2. ONE has attached its proposed Sur-reply as Exhibit 1 hereto and files it contemporaneously herewith. ONE asks that the Court deem such filing to have been good and proper.

Plaintiff Ocean Network Express Pte. Ltd. prays that its Motion for Leave to File Sur-reply be granted, that its filing of such Sur-reply be deemed good and proper and timely filed, and that it be granted all further relief to which they may show themselves to be justly entitled.

Respectfully submitted,

/s/ Ivan M. Rodriguez
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**ATTORNEYS FOR PLAINTIFF
OCEAN NETWORK EXPRESS PTE.
LTD.**

OF COUNSEL: PHELPS DUNBAR LLP

CERTIFICATE OF CONFERENCE

I certify that on June 24, 2021, I conferred with counsel for Greatway regarding the relief sought in this motion. Counsel for Greatway is opposed.

/s/ Andrew R. Nash
Andrew R. Nash

CERTIFICATE OF SERVICE

I certify that on the 24th day of June, 2021, a true and correct copy of the foregoing document was served on all counsel of record in accordance with the Federal Rules of Civil Procedure.

/s/ Andrew R. Nash
Andrew R. Nash

**IN THE UNITED STATES DISTRICT COURT
FOR THE SOUTHERN DISTRICT OF TEXAS
HOUSTON DIVISION**

**OCEAN NETWORK EXPRESS
(NORTH AMERICA) INC. AND
OCEAN NETWORK EXPRESS PTE. LTD.**

Plaintiffs

V.

**PACIFIC LUMBER RESOURCES, INC.,
SOUTH SERVICE TRADING S.A.,
GREATWAY LOGISTICS GROUP, LLC,
EVOLUTION COMERCIAL EXPORTADORA
LTDA., AGL TRANSPORTES
INTERNACIONAIS LTDA-EPP, AND AGL
CARGO LLC**

Defendants

[illegible]

C.A. NO. 4:20-CV-1734

**OCEAN NETWORK EXPRESS PTE. LTD.'S SUR-REPLY IN OPPOSITION TO
GREATWAY LOGISTICS GROUP, LLC'S MOTION FOR RECONSIDERATION**

TO THE HONORABLE JUDGE OF SAID COURT:

Plaintiff, Ocean Network Express Pte. Ltd. (“Plaintiff” and/or “ONE”), files this sur-reply in opposition to Greatway Logistics Group, LLC’s reply in support of its motion for reconsideration (Dkt. 70) and respectfully shows the Court as follows.

I.

ONE files this Sur-reply to clarify misstatements or mischaracterizations of fact and law made by Greatway in its reply.

First, Greatway claims that the Shipping Act authorizes the Federal Maritime Commission (the “FMC”) to award it the fees that Greatway expended in defending *this* litigation. This is patently incorrect. Under the plain terms of the Shipping Act, the FMC’s authority to award attorney fees extends only to those attorney fees incurred in prosecuting and prevailing in an FMC

proceeding. 46 U.S.C. § 41305(e); *accord P.R. Mar. Shipping. Auth. v. Fed. Mar. Comm’n*, 75 F.3d 63, 69 (1st Cir. 1996) (reversing an FMC decision that voided a prior district court judgment regarding an award of costs and attorney’s fees).

Second, Greatway’s reply suggests an award of attorney fees is mandatory in a FMC proceeding. This is contrary to the explicit language of the Shipping Act: “[i]n any action brought under section 41301, the prevailing party *may* be awarded reasonable attorney fees.” 46 U.S.C. §41305(e) (emphasis added); *see also* 46 C.F.R. 502. 254 (“the Commission *may*, upon petition, award the prevailing party reasonable attorney fees.” (emphasis added)). The use of the word “may” undisputedly means an award of attorney fees by the FMC is discretionary. Furthermore, the discretionary award of attorney fees contemplated by the Shipping Act refers to attorney fees incurred in a FMC proceeding, and does not equate to a discretionary award of Greatway’s defense costs incurred in defending this litigation.

Third, Greatway’s reply represents that the Bureau of Enforcement (“BOE”) has already intervened in support of Greatway in the FMC proceeding. Even a cursory review of the publicly-available FMC filing reveals this is false. BOE has merely moved for leave to intervene in the FMC proceeding. Its intervention is not a foregone conclusion, but rather subject to the discretion of the honorable Administrative Law Judge, upon an appropriate showing by BOE.

Finally, and perhaps most significantly, Greatway’s reply calls the Court’s subject matter jurisdiction into question inappropriately. “Indeed, the FMC itself has in the past taken the position that federal courts have *concurrent jurisdiction* over reparations claims brought under [the Shipping Act] *and that a reparations counterclaim could be raised in federal district court.*” *P.R. Mar. Shipping. Auth.*, 75 F.3d at 68 (emphasis added). In contrast, the concept of primary jurisdiction “does not implicate the subject matter jurisdiction of the federal court.” *Id.* at *67

(citing *P.R. Maritime Shipping Auth. v. Valley Freight. Sys.*, 856 F.2d 546, 546 (3rd Cir. 1988)).

In other words, the Court has discretion to refer Greatway's purported counterclaim to the FMC, and has not abused its discretion by denying Greatway's counterclaim with prejudice.

Greatway chose not to allege the Shipping Act as the basis for its purported counterclaim. As the Court is aware, Greatway made no allegations of any kind for the basis of its purported counterclaim, but then took a "spaghetti-on-the-wall" approach in its motion for reconsideration to argue hypothetical bases for its counterclaim, including the Texas Deceptive Trade Practices Act, or the Shipping Act, or common law principles. Greatway now attempts to distinguish its purported counterclaim from the Carriage of Goods by Sea Act ("COGSA"), claiming that it is not related to cargo loss or damage. Greatway's position, however, belies the fact that its purported counterclaim, regardless of characterization, necessarily arises from and relates to ONE's carriage of goods from Brazil to the United States under ONE's bill of lading and Greatway's involvement therein, which is in COGSA's ambit. The Court should deny Greatway's motion for reconsideration.

PRAYER

WHEREFORE, premises considered, Plaintiff Ocean Network Express Pte. Ltd. respectfully requests that this Court deny the Motion to Reconsider filed by Greatway Logistics Group, LLC and that Plaintiff further receive any and all other relief to which it may be entitled at law or in equity.

Respectfully submitted,

/s/ Ivan M. Rodriguez
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CERTIFICATE OF SERVICE

I certify that on the 24th day of June, 2021, a true and correct copy of the foregoing document was served on all counsel of record in accordance with the Federal Rules of Civil Procedure.

/s/ Andrew R. Nash
Andrew R. Nash